

Root Cause Analysis

Asked by : Uber



Problem Statement : You are a PM at Uber and you have noticed that user cancellations have increased by 5%. Identify the root cause of the issue.

Clarifying Questions :

Q1 : For how long we have been noticing this issue ?

Ans : For last 2-3 months

Q2 : Was this gradual or sudden decline ?

Ans : Since this problem is ongoing from the last 2-3 months, this means that must be a gradual decline.

Q3 : Is this decline across Indian or Globally ?

Ans : India

Q4 : Have we changed the definition of metric on how we calculate ?

Ans : No

Q5 : Is our metric tool working fine ?

Ans : Yes

Q6 : Is this specific to any demography of people ?

Ans : No

Q7 : Is this specific to any location in India ?

Ans : No

Q8 : Is this decline in IOS or Android app ?

Ans : No, across both

Q9 : Is this an industry wide problem ?

Ans : No

Q10 : Which of the services has been impacted (cabs, bikes or autos) ?

Ans : **Cabs**

Q11 : Under the cabs, which of the business is impacted Uber Go, Uber XL, Uber Premier, Go Sedan etc. ?

Ans : **The economy ride that is Uber Go.**

We will focus more on other factors, which could have resulted in such an impact.

Structure : First I would like to focus on External factors, then would focus on Internal Factors and finally on the customer journey.

External Factors :

Q1 : Has any of the existing competitors launched a new feature in the market ?

Ans : No

Q2 : Are they offering huge discounts ?

Ans : No, its pretty much the same.

Q3 : Is there any rise of a new competitor ?

Ans : No

Q4 : Has government put any regulations on us ?

Ans : No

Q5 : Has there been a bad PR or some negative news about us in the market ?

Ans : No

Since, there are no external factors that have caused this problem, I would like to focus on Internal Factors.

Internal Factors :

Q1 : Have we started charging more for a ride?

Ans : No, its pretty much the same.

Q2 : Have we changed any UI or any change in user experience because of which users are not able to interact ?

Ans : There has been some UI changes but there is no significant impact because of this.

Q3 : Since this a gradual problem, I am assuming there is no bugs responsible for this because it would have been we would have fixed it by now?

Ans : Yes, that's right

Q4 : Is there any change in the business model with drivers or riders?

Ans : No as such

Customer Journey :

Q1 : Are customers cancelling after the ride is booked or before it is booked ?

Ans : After it is booked

Q2 : Are customers cancelling the ride after talking to the driver or before talking ?

Ans : After talking to the driver

There could be some of the reasons because of which customer might have cancelled.

- **Driver asked to pay extra.**
- Driver took a lot of time to come to the location.
- **Driver asked to take an offline ride.**
- Communication Gap
- Driver was rude or customer felt scared about the security.

- Driver was not able to find the exact location.

Q1 :So among these what were the reasons that customers chose, while cancelling the ride, which led to such an impact.

Ans : Driver asked to pay extra and Driver asked to take an offline ride.

Interviewer : How will you solve this problem ?

Ans :

1. Penalize drivers when customer cancels the ride because driver asked to take an offline ride.
2. Rewarding drivers on completing milestones, so that they don't go for offline ride options.
3. Drivers generally ask the customers for toll charges or parking charges. Include these charges into the cab fare and give a proper bifurcation to the driver.